

FEDERAL MARITIME COMMISSION

DOCKET NO. 24-01

**Visual Comfort & Co.
v.
COSCO Shipping Lines Co. Ltd.**

**COMPLAINANT’S BRIEF IN OPPOSITION TO
RESPONDENT’S MOTION TO STRIKE AND FOR LEAVE TO FILE A SURREPLY**

Complainant Visual Comfort & Co. (“VCC” or “Complainant”) submits this brief in Opposition to Respondent COSCO Shipping Lines Co. Ltd.’s (“COSCO” or “Respondent”) Motion to Strike and for Leave to File a Surreply (“Motion”). COSCO’s Motion should be denied because VCC’s Reply Brief did not raise any new arguments in support of its case-in-chief; rather, it properly responded to the arguments and evidence COSCO introduced in its Opposition Brief (“Opposition”). Moreover, the majority of COSCO’s proposed surreply is improper as it does not even purport to address new arguments raised on reply.

I. THE EVIDENCE IN VCC’S REPLY APPENDIX WAS INTRODUCED SOLELY TO REBUT COSCO’S ARGUMENTS IN ITS OPPOSITION BRIEF.

VCC introduced three exhibits in its Reply Appendix, each of which directly responded to and refuted arguments made in COSCO’s Opposition Brief. Accordingly, there is no basis to strike the Reply Appendix or the references thereto in VCC’s Reply Brief.

A. Exhibit 1: RIM Invoices (VCC000058-VCC000088)

In its Opposition, COSCO repeatedly argued that RIM was not COSCO’s customer for the shipments for which VCC seeks reparations. Opposition at pg. 1 (“RIM also was *not a customer*

of COSCO for the shipments covered by the Complaint.”), pg. 2 (“[T]o the extent that VCC alleges that COSCO invoiced challenged charges to RIM, Complainant fails to submit a single such invoice (even though RIM will have them if they exist”); pg. 10 (“Fatally to VCC’s claim, however, VCC has not demonstrated that RIM was a direct purchaser from COSCO for any of the shipments covered by the Complaint.”). COSCO asserts that, instead, “it appears that VCC contracted with RIM to assist VCC with respect to shipments sent by Asian shippers pursuant to those shippers’ respective service contracts with COSCO”, and that “all of the shipments designated by VCC as within the scope of its Complaint moved under service contracts between COSCO and various other shippers located in Asia (which were also named as ‘shipper’ on the COSCO bills of lading.” Opposition at 2, 4. Based on these assertions, COSCO argued that VCC does not have standing to seek reparations because RIM was not a direct purchaser from COSCO. Opposition at 63.

To rebut these arguments, VCC introduced CRX 1-31, a sampling of invoices showing that directly contrary to COSCO’s claims in its Opposition, it did charge RIM for detention and demurrage for the shipments at issue in this case. This fact was necessary to refute COSCO’s false claim that RIM was not its customer and its misdirection that the only parties with standing to contest the shipments at issue would be Asian shippers listed on the bills of lading. This evidence is certainly not a surprise to COSCO--it is a compendium of COSCO’s *own invoices*.

It appears that what COSCO actually seeks to accomplish through its motion is to reframe its argument from “*COSCO did not invoice RIM for detention and demurrage charges*,” to “*VCC did not submit all such invoices into evidence*.” But this issue relates directly back to the discovery dispute pending before the Presiding Officer. As VCC argues in its Second Motion to Compel and in its Opening Brief, COSCO failed to search for and produce communications with RIM. Consequently, it should not be permitted to improperly withhold such evidence (which VCC does

not possess) while simultaneously claiming that VCC cannot prove its case because it has not introduced the very evidence COSCO has withheld. Again, VCC's argument is not new – as it is the subject of the Second Motion to Compel as well as Point IV(D) in its Opening Brief.

B. Exhibit 2: Fenneman email dated 11/12/2024 re: VCC Second Motion to Compel.

Exhibit 2 is a November 12, 2024 email from COSCO's counsel advising VCC that it completed its search of custodians Tom Takase, Christine Smith and Phil Taylor, and it found no responsive documents. (CRX 32). COSCO does not take issue with this Exhibit, as it is solely introduced to report the developments in COSCO's purported searches since VCC filed its Opening Brief. Indeed, VCC could not have included this information in its Opening Brief, as COSCO did not provide it until after it was filed.

C. Exhibit 3: Declaration of John McCown.

Exhibit 3 is Declaration from VCC's Expert, John McCown correcting the false statements COSCO made about his report in its Opposition. Specifically, COSCO made the following false factual assertions in its Opposition:

- “Complainant has produced or used without production (in the McCown Report) a variety of spreadsheets purporting to identify the specific shipments covered by the Complaint.”
- After producing VCC000005 to COSCO in February 2024 “VCC had, behind the scenes, concocted a substantially revised spreadsheet, which somehow, but without explanation, added 102 new shipments, for a new total of 539 shipments.”
- Complainant “served, on September 27, 2024 a substantially revised version of the McCown Report . . . [which] relied upon two brand new spreadsheets entitled ‘VCGPOR REPORT – YEAR 2021’ and ‘VCGPOR – 2022 Report’ . . . rather than either the February 7 spreadsheet (VCC000005) or the (unproduced) spreadsheet previously used by Mr. McCown.”

Opposition at 50-51.

These factual assertions are inaccurate and were raised for the first time in COSCO's Opposition. VCC submitted Mr. McCown's short declaration solely to correct these misrepresentations. In his declaration, McCown explained that—contrary to COSCO's speculation about the corrections to his report—the initial report *inadvertently* relied on an incorrect file that was not provided by VCC, and the corrected report relied on the correct spreadsheet, VCC000005. (CRX 41). Mr. McCown further explained that contrary to COSCO's unsupported assertions that he relied on numerous unproduced spreadsheets, all data in his report regarding COSCO's charges to VCC was drawn from VCC000005. (CRX 41). Finally, he explained that his deposition was scheduled to be continued on October 4, a week after he served the corrected report with which COSCO takes issue, and COSCO cancelled his deposition and never rescheduled it. (CRX 40). This information is important because it shows that COSCO could not have been prejudiced by the corrected expert report, as it declined to question Mr. McCown on the changes. Moreover, these arguments could not have been made in VCC's Opening Brief because VCC relied solely on McCown's October 17, 2024 Report, and VCC had no reason to explain the corrections that predated that report until COSCO raised the issue in its Opposition.

II. THERE IS NO BASIS TO STRIKE VCC'S REPLY BRIEF OR APPENDIX.

COSCO's motion to strike should be denied because the neither the Scheduling Order nor the FMC Rules preclude an appendix on reply, and VCC introduced the three reply exhibits solely to rebut COSCO's arguments in its Opposition.

COSCO argues that that the fact that the Scheduling Order and FMC Rules do not explicitly provide for a reply appendix means it must be stricken. COSCO provides no support for this argument, which is contrary to the expansive body of case law finding that the absence of an express provision for a filing does not mean that the filing is forbidden. Rather, courts have

discretion to consider filings not explicitly precluded by their rules. *See Murray v. Amalgamated Transit Union*, 2014 WL 11281392 (D.D.C. Dec. 19, 2014) (“[B]ecause nothing in the Local Rules of this Court specifically prohibits a party from filing a supplemental statement of facts, the Court may permit such statements in its discretion.”); *1443 Chapin St., LP v. PNC Bank, N.A.*, 810 F. Supp. 2d 209, 228 (D.D.C. 2011) (considering materials submitted on reply because they were not explicitly prohibited by local rules); *McFadden v. Ballard*, 2008 WL 2569418 (D.D.C. June 24, 2008) (denying motion to strike statement of fact submitted on reply, reasoning that “Plaintiff is correct that this rule does not affirmatively grant a party the right to file a second statement of undisputed facts; at the same time, however, it contains no prohibition against such a filing — in fact, it makes no reference at all to what is or is not permitted to be filed as part of a reply in support of a motion for summary judgment”).

Indeed, courts routinely consider additional facts submitted on reply where, as here, they are introduced in response to new arguments made by the opposing party. *See Murray*, 2014 WL 11281392 at *13 (“Here, as illustrated above, Plaintiffs’ supplemental facts and affidavits appropriately respond to arguments raised by the ATU’s Motion for Summary Judgment.”); *Matthews v. Wells Fargo Bank*, 536 F. App’x 577, 579 (6th Cir. 2013) (the Court may consider additional evidence submitted with a reply brief where the moving party seeks to “address new arguments presented in a plaintiff’s response”); *Smith v. Burns Clinic Med. Ctr.*, 779 F.2d 1173, 1175 n.6 (6th Cir. 1985) (noting that a party may submit new facts in a reply if the facts serve to rebut a claim made by the opposing party).

Even jurisdictions in which the local rules explicitly preclude a reply appendix without leave of court exercise discretion to consider such evidence when it is responsive to arguments raised in the opposition brief. *See, e.g., Banda v. Owens Corning Corp.*, No. 3:17-CV-1787-B,

2018 WL 6726542, at *4 (N.D. Tex. Dec. 21, 2018) (“Despite Defendant’s procedural misstep in not seeking leave, the Court chooses to exercise its discretion in considering Defendant’s Reply Appendix as summary-judgment evidence because the evidence rebuts Banda’s Response to the Motion for Summary Judgment, bolsters arguments made in Defendant’s initial Motion, and does not raise new issues, legal arguments, or theories.”); *Lynch v. Union Pac. R.R. Co.*, 2015 WL 6807716, at *1 (N.D. Tex. Nov. 6, 2015) (denying plaintiff’s motion to strike and considering the defendant’s reply evidence without it seeking leave “[b]ecause Defendant’s reply and related evidence are responsive to arguments raised and evidence relied on by Plaintiff in his summary judgment response,’ and was ‘not a situation in which a new issue was raised for the first time in a reply that would require the court to give him an opportunity to respond to Defendant’s reply ... or that would require the court to strike the reply.’”); *Lawson v. Parker Hannifin Corp.*, 2014 WL 1158880, at *5–6 (N.D. Tex. Mar. 20, 2014) (recognizing that plaintiff failed to properly move for leave of court to include a reply appendix, but nevertheless considering it “in the interest of giving each party a full and fair opportunity to address the issue before the Court”); *Murray v. TXU Corp.*, 2005 WL 1313412, at *4 (N.D. Tex. May 27, 2005) (denying plaintiff’s motion to strike defendants’ reply brief and supplemental appendix, and denying motion for leave to file a surreply because the arguments contained within did not raise new legal theories, but instead rebutted plaintiff’s response or bolstered defendants’ arguments contained in its initial motion).

The FMC decision on which COSCO relies, *Marine Transport Logistics, Inc. v. CMA CGM, SA*, FMC Docket No. 22-23, 2024 WL 4678463 (ALJ Order on Respondent’s Motion to Strike, October 30, 2024), is inapposite. There, the Complainant introduced an entirely new argument and request for affirmative relief in its reply brief—namely, that it should be entitled to lost profit damages. *Id.* In support of its new request, the Complainant introduced evidence

supporting lost profit damages for the first time on reply. *Id.* Here, by contrast, VCC did not make any additional requests for relief or raise any new arguments in its reply.

Accordingly, because the Presiding Officer has discretion to consider VCC's Reply Appendix, and because the Appendix was submitted solely to rebut COSCO's arguments in Opposition, COSCO's motion to strike should be denied.

III. THE PRESIDING OFFICER SHOULD DENY COSCO'S REQUEST TO FILE A SURREPLY.

COSCO asserts that its Surreply is divided into two parts addressing: "(1) new evidence and argument that may not be raised for the first time on reply – i.e., sandbagging, and (2) multiple statements of fact that are false and/or misleading." Sur Reply at 1. With respect to the first category, while a surreply may be permitted to address new arguments, as discussed at length above, VCC did not introduce new arguments on reply—it merely responded to the arguments raised in COSCO's opposition. With respect to the second category, courts have made clear that a surreply will not be granted to address alleged misstatements, as this would permit briefing to continue ad infinitum.

A. VCC Did not Introduce New Arguments On Reply.

"If new arguments appear for the first time in a movant's reply, granting leave to file a sur-reply is appropriate." *Alavi v. Weinstein*, 2018 WL 4828401, at *3 (D.D.C. Oct. 4, 2018). However, such arguments "must be truly new." *Id.* (quoting *United States ex rel. Pogue v. Diabetes Treatment Ctrs. of Am., Inc.*, 238 F. Supp. 2d 270, 277 (D.D.C. 2002)). The "alleged mischaracterization of a moving party's position by an opponent in a reply is insufficient to justify granting a request to file a sur-reply." *Id.* (citing *Lewis v. Rumsfeld*, 154 F. Supp. 2d 56, 61 (D.D.C. 2001)). "Simply put, a sur[-]reply is not a vehicle for rehashing arguments that have already been raised and briefed by the parties. Were that not true, briefing would become an endless pursuit."

Crummey v. Soc. Sec. Admin., 794 F. Supp. 2d 46, 63 (D.D.C. 2011), *aff'd* 2012 U.S. App. LEXIS 2309, 2012 WL 556317 (D.C. Cir. Feb. 6, 2012).

COSCO does not identify which arguments it claims are “new” in its Motion. It merely broadly alleges that “the new Appendix, and new arguments in the Reply Brief, must be rejected as forbidden sandbagging.” Motion at 4. In its discussion of a surreply, it focuses solely on alleged misstatements. This failure to identify any new arguments on reply is fatal to COSCO’s motion.

Although the Presiding Officer should not have to look to COSCO’s proposed Surreply to determine what arguments COSCO is framing as “new,” a cursory perusal of COSCO’s arguments proves there are none. First, in Points A-C of COSCO’s Surreply, COSCO takes issue with the five COSCO invoices included in VCC’s Reply Appendix. As discussed above, these invoices were included to rebut COSCO’s assertion that it did not charge detention and demurrage to RIM. This was not even remotely a new argument, as VCC argued in its Opening Brief that COSCO assessed detention and demurrage charges to RIM, and that RIM passed them through to VCC. *See* Opening Brief, Points C, E, F; *see also* Complainant’s Statement of Proposed Facts ¶ 9, 19. COSCO cannot now claim that it is somehow surprised by its own invoices showing as much.

Points D (“VCC’s New Argument About the Incentive Principle”), E (“VCC’s New Argument About Reparations”), and F (“VCC’s New Arguments about COSCO’s Invoicing Practices”) likewise do not identify new arguments. VCC argues at length about the incentive principle, reparations, and COSCO’s invoicing practices in its opening brief. *See* Opening Brief, Point E, F. Indeed, these arguments are the very basis for VCC’s claims in this case. The discussion of these concepts in VCC’s Reply was merely further development of arguments VCC raised in its Opening Brief in response to arguments made by COSCO. VCC’s Reply by no means expanded the scope of the issues presented in the Opening Brief. *See Crumme*, 794 F. Supp. 2d at

63 (“Where the movant's reply does not expand the scope of the issues presented, leave to file a surreply will rarely be appropriate.”).

Finally, with respect to the arguments about Mr. McCown’s report, as discussed above, VCC merely responded to new arguments raised for the first time in COSCO’s opposition.¹

Thus, COSCO’s request for leave to file a Surreply should be denied because COSCO has not identified any arguments that were raised for the first time in VCC’s Reply. *Robinson v. Detroit News, Inc.*, 211 F. Supp. 2d 101, 113 (D.D.C. 2002) (denying a motion for leave to file a sur-reply “because the proposed sur[-]reply merely reiterate[d] arguments already made and [did] not add anything new”).

B. Alleged Misrepresentations are Not a Basis for a Surreply.

COSCO does not cite to a single case permitting a party to file a surreply to address “false and/or misleading statements.” Yet it dedicates 17 pages—more than half of its proposed Surreply—to such arguments. This is improper, as the Presiding Officer is more than capable of assessing the accuracy of VCC’s statements and the merits of its position. *See Crumme*, 794 F. Supp. 2d at 63 (“To the extent the arguments made by the SSA in its reply ‘mischaracterize and/or misconstrue’ Crummey's factual and legal arguments, the Court is more than capable of ascertaining the merits of the parties’ respective positions on its own.”).

Indeed, Courts have overwhelmingly rejected requests to file a sur reply to address allegedly false or misleading statements. *See Alavi v. Weinstein*, 2018 WL 4828401, at *4 (“The

¹ It should be noted that COSCO effectively included a motion to strike Mr. McCown’s report in its Opposition Brief. The FMC Rules permit an opposition to such motions, which VCC effectively included in its Reply Brief. The FMC rules *explicitly prohibit* reply briefs in support of non-dispositive motions “unless requested by the Commission or presiding officer, or upon a showing of extraordinary circumstances.” 46 CFR § 502.71(c). Accordingly, COSCO’s reply brief here (in the form of its Surreply) is inappropriate.

plaintiff acknowledges that she seeks leave to file a sur-reply to correct the defendant's alleged misstatement of facts, . . . , and to further clarify issues raised in her opposition. . . . However, neither of these reasons serves as the basis for granting a motion for leave to file a sur-reply.”); *Iyoha v. Architect of Capitol*, 282 F. Supp. 3d 308, 319 (D.D.C. 2017) (“[Plaintiff requests leave to file a sur-reply due to the Architect's failure to respond to his statement of material facts and the Architect's reliance on ‘inferences applied in its favor.’ . . . Additionally, the plaintiff ‘wishes to have the opportunity to address [the Architect's] misstatement of record evidence.’ . . . *Id.* But, none of these reasons serve as a basis for granting a motion for leave to file a sur-reply.”), *rev'd in part on other grounds*, 927 F.3d 561 (D.C. Cir. 2019); *Nix El v. Williams*, 174 F. Supp. 3d 87, 92 (D.D.C. 2016) (“The purpose of a sur[-]reply is to enable the non-movant to contest matters presented for the first time in the opposing party's reply. A sur[-]reply may not be used simply to correct an 'alleged mischaracterization' or to reiterate arguments already made.”) (citations omitted)).

Accordingly, Section II of COSCO’s proposed Surreply should be disregarded in its entirety.

C. Should Any Portion of COSCO’s Surreply be Considered, VCC Requests Leave to File a Response.

For the reasons set forth above, the Presiding Officer should decline to consider COSCO’s Surreply. However, should the Presiding Officer choose to consider any portion of the Surreply, VCC requests a reasonable opportunity to respond thereto.

IV. CONCLUSION

As detailed above, the Presiding Officer should deny Respondent’s Motion to Strike and for Leave to File a Surreply.

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Respectfully submitted,

/s/ Jennifer M. Oliver

Jennifer M. Oliver, Esq.

BUCHANAN INGERSOLL & ROONEY

600 W. Broadway

Suite 1100

San Diego, CA 92101

(619) 695-1900

Jennifer.oliver@bipc.com

Melissa J. Bayly, Esq.

550 Broad Street

Suite 810

Newark, NJ 07102-4582

(973) 424-5604

melissa.bayly@bipc.com

Jacob M. Adams, Esq.

1737 King Street, Suite 500

Alexandria, VA 22314-2727

(717) 237-4856

jake.adams@bipc.com

CERTIFICATE OF SERVICE

I certify that on the 7th of January 2025, a true and correct copy of the Opposition Brief were served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

Rebecca A. Fenneman
Eric C. Jeffrey
Nicholas L. Webb
Kayla M. Massey
700 12th Street, NW Suite 700
Washington, DC 20005
Telephone: 202-904-2301
Email: EJeffrey@JeffreyFenneman.com
RFenneman@JeffreyFenneman.com
NWebb@JeffreyFenneman.com
KMassey@JeffreyFenneman.com

Attorneys for Respondent

/s/ Jennifer M. Oliver
Jennifer M. Oliver, Esq.